

Northstar Financial Services (NFS) - Vendor Risk Management Policy

- **VRM-01 (Risk Categorization):** Any vendor processing "Confidential" or "Restricted" data is automatically classified as a High-Risk vendor.
- **VRM-02 (Approval Restrictions):** High-Risk vendor assessments cannot be granted automated final approval by any software system or AI agent. High-Risk vendors require a human review and must be marked as **CONDITIONAL APPROVAL** or **REJECT** if automated.
- **VRM-03 (Missing Evidence):** If a vendor fails to provide requested evidence (e.g., missing policies or blank questionnaire answers), the control must be marked as a failure. Missing evidence is never assumed to be a pass.